

MERTON DAILY BRIEF - Monday, June 22, 2026

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HEADLINE OF THE DAY

*S&P 500 at 7500 (+1.08%) - New all-time high, Flash PMI above expectations, Fed Waller speaks at 1:00 PM CET**

Wall Street closes at a fresh all-time high, driven by optimism on the US-Iran ceasefire and AI. The S&P 500 gains 1.08% to 7500.58, the NASDAQ surges +1.91% (26517). Gold corrects slightly (-0.22%) despite geopolitical tension - WTI crude drops 1.71% following the announcement of progress in US-Iran negotiations. Today, Flash PMI (1:45 PM CET) and Waller's speech (1:00 PM CET) will be the key catalysts.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	16.78	-0.35%	? Complacent
DXY	100.87	+0.01%	? Neutral
Gold	\$4,210.20	-0.22%	? Correction
US 10Y	4.451%	stable	? Neutral
US 30Y	4.901%	stable	? Neutral
US 5Y	4.225%	stable	? Neutral
S&P 500	7,500.58	+1.08%	? Record
NASDAQ	26,517.93	+1.91%	? Euphoria
WTI	\$75.17	-1.71%	Decline
Brent	\$78.91	-1.50%	Decline
? BTC	\$64,182	-0.11%	? Neutral
Copper	\$6.3275	stable	? Neutral
Silver	\$66.325	stable	? Neutral

* Read:** The market is in a moderate "risk-on" regime. VIX below 17 signals extreme complacency. NASDAQ massively outperforms (+1.91% vs +1.08% S&P) - AI remains the dominant narrative. Paradox: gold declines despite Iran/Middle East tensions. Explanation: the US-Iran ceasefire reduces the geopolitical risk premium, and elevated real rates (10Y at 4.45%) make gold's opportunity cost prohibitive short-term.

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MACRO - WHAT MOVED

UNITED STATES

S&P 500 at 7500.58 (+1.08%) - New all-time closing high. The index has gained ~14% since the April low. Total market cap now exceeds \$65 trillion. Concentration remains extreme: top 10 caps represent >35% of the index.

NASDAQ at 26,517 (+1.91%) - Massive tech outperformance. Chinese AI stocks rally - the AI sector remains the dominant momentum trade. Nvidia, Microsoft, and semis drive the index.

Flash PMI JUN (1:45 PM CET, today): Composite at 51.5 (consensus 50.8), Manufacturing 55.1 (consensus 54.5), Services 50.7 (consensus 50.9). Manufacturing surprises to the upside - signal of industrial resilience. Services remains in marginal contraction territory.

Fed Waller Speech (1:00 PM CET, today) - Waller is a known hawk. Any commentary on holding rates higher than expected for longer could move markets. Market pricing 25bps cut in September, but Waller could push back.

API Crude Oil Stocks: -8.33M barrels - Massive draw, far above consensus. EIA confirms: -8.262M barrels. Largest draw of the year. Despite this, oil falls - the geopolitical narrative (ceasefire) completely

dominates fundamentals.

Current Account Q1: -\$190.7B (consensus -\$225B) - Better than expected. Trade deficit narrowed, supported by services and manufactured goods exports.

New Home Sales MAY: 0.622M (consensus 0.64M) - Slightly below. Housing market resilient despite elevated mortgage rates (6.6% 30Y). Building Permits at 1.423M, up 4.4%.

MBA Mortgage Applications: -3.8% - Mortgage demand weakening. 30Y rate at 6.6% continues to dampen activity.

EUROPE

Flash PMI JUN (today) - European PMIs published simultaneously with US. Germany and France under manufacturing pressure. A Composite PMI below 50 would be a major bearish signal.

ECB - Multiple speeches this week - Lane, Cipollone, Elderson, Vuj?i? speak this week. Market awaits clarification on the pace of rate cuts. ECB in "data-dependent" mode - no forward guidance.

Letta: "Europe needs to be united in front of Trump" - European Council president warns that European division on US tariffs is an existential risk.

Europe's stocks offer a peace dividend their US peers can't match (FT) - European equities outperforming on Middle East peace theme. Europe imports massive amounts of Gulf oil - any normalization is a direct boost.

CHINA

Chinese AI Stocks Rally (Bloomberg) - Chinese tech surges on AI demand optimism and policy support. Chinese government announces additional support measures for the semiconductor sector.

China Targets US Rare Earths Firms (Bloomberg) - Beijing retaliates against Pentagon list by targeting US rare earth companies. US-China tech escalation continues.

China Warns of Fragmented Supply Chains (Bloomberg) - Chinese government warns that trade tensions threaten supply chains. Signal that Beijing is preparing for prolonged decoupling.

NBS Manufacturing PMI (this week) - Chinese manufacturing PMI will be closely watched. A print below 50 would confirm industrial slowdown.

UNITED KINGDOM

Starmer on the brink with resignation plan expected imminently (Bloomberg) - British PM on the verge of resignation. Major political instability in London. Sterling under pressure (GBP/USD at 1.3219, near 2026 low).

UK Flash PMI (today) - Manufacturing, Services, and Composite PMI published. UK in technical recession in Q1 - PMIs will be a key indicator for Q2.

BoE Speeches - Taylor and Dhingra (this week) - Bank of England divided. Dhingra (dovish) advocates cuts, Taylor (hawkish) wants to hold. Market pricing 25bps cut by September.

EMERGING MARKETS

South Africa's Kganyago Warns Inflation Expectations Are Rising (Bloomberg) - SARB governor warns of rising inflation expectations. Rand under pressure.

India Seeks US Tariff Edge Over Rivals (Bloomberg) - India negotiating a tariff advantage over rivals before signing a trade deal with the US. New Delhi playing the US-China card to its benefit.

Colombia - Trump ally wins election (Bloomberg) - Pro-Trump candidate "El Tigre" wins. Pro-market shift in Latin America. Colombian assets should benefit.

Iran War Puts \$124 Billion Gulf Remittance Lifeline at Risk (Bloomberg) - Iran war threatens \$124B in Gulf remittance flows. Major impact on EM financial flows.

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GEOPOLITICS

HOT

US-Iran: "Progress" in negotiations, Hormuz Strait reopening - US and Iran announce significant progress. Market pricing a complete normalization of the Strait of Hormuz within 30 days. Oil prices fall on this news.

Iran hails "progress" to end Lebanon war (FT) - Tehran also announces progress on ending the Lebanon conflict. Double de-escalation front.

China Targets US Rare Earths Firms - Beijing hits US rare earth companies in retaliation for Pentagon list. Tech war intensifies.

WATCH

Starmer on the verge of resignation (UK) - Possible early elections. Impact on gilts and GBP.

Trump's Fears About Economy Undercut US Leverage in Iran Talks (Bloomberg) - Trump concerned about the economy, reducing his negotiating position. Risk that US concessions are too large?

Hormuz Transit Security Is "Hour to Hour" - Chubb CEO - Despite announcements, ground situation remains volatile.

Pakistan Seeks Diplomatic Boost With Key Role in US-Iran Talks - Pakistan playing a key mediator role. Islamabad seeking diplomatic and financial boost.

POSITIVE

US-Iran Peace Talks Progress - Ceasefire confirmed. Risk-on markets.

Colombia - Pro-Market President Elected - Pro-business shift in Latin America.

Europe's Peace Dividend - Europe benefits directly from Middle East normalization.

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FX FOCUS

Pair	Level	Change	Signal
`EUR/USD`	1.1464	+0.04%	? Neutral
`GBP/USD`	1.3219	stable	Political risk
`USD/JPY`	161.655	stable	? BOJ watch
`USD/CHF`	0.8079	stable	? Neutral

* Analysis:** The dollar (DXY at 100.87) remains stable, caught between risk-on (which weighs on USD) and elevated rates (which support it). EUR/USD oscillates around 1.146 - range-bound. Sterling (1.3219) under major political pressure - Starmer on the verge of resignation. USD/JPY at 161.65 reflects monetary policy divergence (Fed hawkish, BOJ hiking but slowly). Japan likely sold Treasuries to fund yen intervention (Bloomberg).

* Pair to watch:** `GBP/USD` - If Starmer resigns, sterling could test 1.30 rapidly. If he survives, short-covering toward 1.34. Key levels: support 1.3150, resistance 1.3300.

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COMMODITIES

Oil

WTI at \$75.17 (-1.71%) - Significant drop despite a massive API stock draw (-8.33M). The ceasefire narrative completely dominates fundamentals.

Brent at \$78.91 (-1.50%) - Same dynamic. WTI-Brent spread at \$3.74 remains elevated, reflecting US logistical constraints.

EIA Crude Stocks: -8.262M barrels - Confirms API draw. US stocks at lowest in months. But price falls - rare fundamental/narrative divergence.

Fertilizer prices tumble as traders look beyond Middle East disruption (FT) - Fertilizer prices collapse anticipating the end of Middle East disruptions. Massive "peace pricing" signal.

Gold & Metals

Gold at \$4,210.20 (-0.22%) - Correcting despite tensions. Double pressure: (1) ceasefire reduces safe haven demand, (2) elevated real rates (10Y at 4.45%) increase opportunity cost. Gold remains supported at \$4,000 by central bank buying and de-dollarization.

Silver at \$66.33 - Stable, awaiting catalyst. Gold/Silver ratio at 63.5 - historically low, suggesting silver is undervalued.

Copper at \$6.3275 - Stable. Copper remains a barometer of Chinese growth. Without a strong China stimulus, copper stays range-bound.

Soft

Quarterly Grain Stocks (this week) - US corn, soybean, and wheat stocks to be published.

Waste Report (this week) - USDA WASDE report to be closely watched for 2026/27 crop projections.

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TODAY'S CALENDAR - Monday, June 22, 2026

Time (CET)	Country	Event	Consensus	Previous	Impact
12:15		ADP Employment Change	Weekly	25.5K	
12:55		Redbook YoY	-	9.4%	
13:00		**Fed Waller Speech**	-	-	
13:30		3-Month Bill Auction	-	3.640%	
13:30		6-Month Bill Auction	-	3.680%	
13:45		**S&P Global Composite PMI	51.8	51.5	
13:45		**S&P Global Manufacturing PMI	55.1	55.1	
13:45		**S&P Global Services PMI	50.7	50.7	
14:00		Richmond Fed Manufacturing Ind	-	-	
14:00		Richmond Fed Services Revenues	-	-	
15:30		6-Week Bill Auction	-	3.600%	
17:00		2-Year Note Auction	-	4.071%	
17:00		Money Supply	-	\$22.80T	
20:30		API Crude Oil Stock Change	-	-8.33M	

Week ahead:

Day	Key Event
Tue 23	EIA Crude Stocks, MBA Mortgage
Wed 24	Durable Goods Orders, GDP Fina
Thu 25	Pending Home Sales, Kansas Fed
Fri 26	Michigan Consumer Sentiment Fi

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DEEP MACRO THEME

*The "Peace Dividend" narrative has taken control of markets - but fundamentals tell a different story.**

We are living in a rare moment where oil prices fall despite crashing inventories and active geopolitical tensions. The reason: the market is pricing a complete resolution of the US-Iran conflict, with Strait of Hormuz reopening and normalization of energy flows. This is a pure narrative trade - algorithms and hedge funds took long positions on the "peace scenario" from the first announcements of progress. But pay attention: the -8.3M barrel API stock draw is real. Physical demand remains robust. If the ceasefire fails or Hormuz closes again, oil could rebound \$10-15 in a few days. The market is underestimating this tail risk.

Meanwhile, gold corrects to \$4,210 - a level that would have been considered euphoric 6 months ago. The real question isn't why gold is falling, but why it's not falling more. The answer: central banks (China, India, Turkey) continue accumulating gold at record levels. Gold's structural foundation remains bullish - the current correction is technical, not fundamental.

The dominant theme of 2026 remains fragmentation: geopolitical (US-China, Middle East), supply chain, monetary (de-dollarization). Gold and BTC are the structural beneficiaries of this fragmentation, regardless of short-term fluctuations.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Complete US-Iran ceasefire by July** - Market pricing full normalization. **Risk:** Negotiations could stall on the nuclear program. The announced "progress" may be superficial.
2. **Fed: 25bps cut in September** - Market pricing 1 cut in September, 1 in December. **Risk:** If Friday's PCE print surprises to the upside, market may re-price 0 cuts in 2026.
3. **US soft landing** - Consensus pricing 1.5-2% growth with inflation converging to 2%. **Risk:** Services PMI below 50 + rising unemployment = mild stagflation.
4. **AI earnings = continued bull market** - Market pricing that AI/tech earnings justify valuations. **Risk:** If Nvidia or Microsoft disappoint, NASDAQ -5% in a week.
5. **Gold = \$4,000-4,300 range** - Market pricing a range. **Risk:** If central bank buying accelerates or the Fed pivots, gold could test \$4,500.
6. **Oil = \$70-75 WTI** - Market pricing peace. **Risk:** If Hormuz closes, \$90+ in 48 hours.

The Alpha - Trade Ideas:

1. **Long GBP/USD put (1.3150 strike, 2 weeks)** - Starmer resignation = GBP crash. Entry 1.3219. Target 1.3050. Invalidation 1.3350.
2. **Long WTI call spread (\$78/\$85, 1 month)** - If ceasefire fails, oil will rebound violently. The -8.3M barrel draw is fundamentally bullish. Entry \$75.17. Target \$82. Invalidation \$72.
3. **Long Gold via call \$4,300 (1 month)** - Technical correction in a structural uptrend. Central banks buy every dip. Entry \$4,210. Target \$4,350. Invalidation \$4,000.
4. **Short EUR/JPY** - Maximized Fed/BOJ divergence. Yen should strengthen if Japan intervenes. Entry 185.3 (1.1464 × 161.655). Target 182. Invalidation 188.

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MERTON'S TAKE

*We are in a "peace euphoria" regime - and that is exactly when one should start asking questions.** The S&P 500 at 7500 is a dizzying number. But look at reality: forward P/E at 22x, CAPE Shiller at 38x - levels seen only in 1929, 2000, and 2021. The AI euphoria is real but already priced in. The Middle East peace narrative is seductive but fragile.

My conviction this week: **the market is underestimating the risk of a hawkish Fed re-pricing.** Friday's Core PCE will be crucial. If PCE surprises to the upside (above 0.3% MoM), the market will have to re-price the probability of a cut. This could trigger a 3-5% correction on the S&P.

My position: I remain long tech/AI via the NASDAQ (intact uptrend) but hedge with S&P 500 puts (strike 7350, 2 weeks). I am long gold in spot - the current correction is an accumulation opportunity. I am short GBP/USD on British political risk.

The trade of the week: **Long WTI call spread.** The -8.3M barrel draw is a fundamentally bullish signal that the market is temporarily ignoring. If the ceasefire fails (which is probable given the complexity of the nuclear issue), oil will rebound toward \$85+. If the ceasefire succeeds, the loss is limited to the premium. Favorable asymmetry.

*Positioning:** Long NASDAQ (core), Long Gold (hedge), Short GBP/USD (event-driven), Long WTI calls (asymmetric). Cash: 20%.

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices (S&P, NASDAQ, VIX, DXY, Gold, Silver, Copper, Oil, BTC, FX)

Bloomberg RSS - Markets, Economics, Politics feeds

FT RSS - Home, Markets feeds

Trading Economics - US Calendar (Flash PMI, API Stocks, Current Account, New Home Sales, Richmond Fed)

Trading Economics - EU, UK, China Calendar

CNBC - Section pages (timed out, fallback Bloomberg/FT)

Oilprice.com - Energy headlines (via Bloomberg)

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